

Expect recovery going forward



Greenpanel Industries Q2FY23 results were marginally lower than expectations with export volumes subdued and margin coming under pressure due to higher timber cost. H2FY23 is expected to be better than H1FY23.

Key business highlights

- The company reported a 8% volume growth YoY in the domestic MDF segment and a 41% volume degrowth YoY (high base) in the exports segment. Expects the export segment to be better in H2FY23. Revenue was supported due to higher realisations in both segments.
- Plywood division was impacted the most as production volumes saw a dip of 32% YoY and higher timber cost affected the margins inspite of taking a 2% price hike. H1FY23 saw a sales volume growth of 4.3% vs H1FY22.
- The company expects H2FY23 to be better than H1FY23 and is targeting a revenue of Rs ~1950 crores for FY23(+18% YoY).

Key Financial Highlights

- Revenue at Rs 4572Mn, -1.4% qoq/+8.4% yoy
- EBITDA (excl OI) at Rs 1243Mn, -10.4% qoq/+14.2% yoy
- EBITDA margin at 25.52% vs 28.35% vs 25.33% in Q1FY23/Q2FY22
- PAT at Rs 724Mn, -6.6% qoq/+16.6% yoy
- EPS at Rs 5.91 vs 6.33/5.47 in Q1FY23/Q2FY22

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	8,766	10,208	16,250	19,532	22,095
EBIDTA	1,378	2,034	4,304	5,097	5,672
Margins (%)	15.7	19.9	26.5	26.1	25.7
Adjusted net profit	145	688	2,405	2,999	3,627
EPS (Rs)	1.2	5.6	19.6	24.5	29.6
P/E (x)	322	68	19	16	13
EV/EBITDA (x)	37	25	11	9	8
RoCE (%)	5.87%	11.44%	28.93%	29.09%	25.57%
RoE (%)	2.19%	9.42%	25.27%	24.32%	22.99%

Source: Company, Dalal & Broacha Research

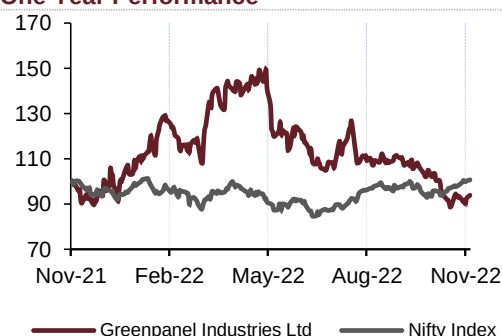
Rating	TP (Rs)	Up/Dn (%)
BUY	533	40

Market data

Current price	Rs	380
Market Cap (Rs.Bn)	(Rs Bn)	47
Market Cap (US\$ Mn)	(US\$ Mn)	567
Face Value	Rs	1
52 Weeks High/Low	Rs	626 / 350
Average Daily Volume	('000)	153
BSE Code		542857
Bloomberg		GREENP.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Sep-22	Jun-22
Promoters	53.1	53.1
Public	46.9	46.9
Total	100.0	100.0

Source: Bloomberg

Harsh Shah
+91 22 67141496

harsh.shah@dalal-broacha.com

Concall Highlights:

- **Volume Guidance:** The company has revised their guidance on a full year basis in the MDF segment to 12% growth in domestic market and flattish in the export market from 10-12% guided earlier in Q1FY23. Plywood segment to do well from Q4. Expecting atleast 14 to 15% volume growth in FY24 in the MDF segment.
- **Realisation Guidance:** Expects the realisation in the MDF and plywood segment to be maintained. Currently not planning any further price hikes.
- **Margin Guidance:** ~30% operating margins in MDF segment to be maintained for the next 15 to 18 months. Expects margins to improve in the plywood segment from Q4FY23. Gross margins were impacted in the quarter due to high timber costs.
- Overall the company has **guided a revenue of Rs 1900 to 1950 crores in FY23** (~18% growth YoY) indicating H2FY23 to be better than H1FY23. The company expects the company level **operating margins** to be in the range of **26 to 28% for the next 15 to 18 months**.
- Though the imports have started to come back in the country, it has not impacted its volume in the domestic markets. Majorly plain MDF is being imported in the country and hardly any value added products. The imported products (landed cost) would be ~ 5 to 10% cheaper than domestic MDF. The situation on the imports would be closely tracked. Management is expecting no major impact on them due to imports as the situation this time around is different as compared to FY18/19 (demand + capacity present).
- Capacity utilization in MDF at 74% and plywood at 68%.
- Net working capital days in the quarter stood at 24 days (+10 days from previous quarter)
- Net debt reduced by Rs 42 crores during Q2 to negative 59 crores.
- Marketing spends will increase from next financial year.
- **Value added mix contributed 49% in volume terms and 60% in value terms. Target is to take the value add mix volume to 65% in next few years which would support realization as well.**
- **Management believes the raw material prices have peaked out** and expects no further material upwards change in the costs.
- Price hikes were taken in the plywood segment to the tune of 2% but was insufficient which is why the margins saw a dip.
- The new capacity expansion which will come onstream in Q1FY25 is especially for thin MDF where they are currently lacking presence. The company is expecting to gain market share immediately in thin MDF when it comes onstream.
- Exceptional items to the tune of Rs 6crs aided the profitability as well.
- Tax rate in FY24 to be 25% (FY22 - 31%)

Quarterly Snapshot

Greenpanel Industries					
Particulars (Rs Mns)	Q2FY23	Q2FY22	YoY Growth	Q1FY23	QoQ Growth
Revenue from operations	4,572.9	4,219.09	8.4%	4,640.01	-1.4%
Other income	76.314	20.69	268.8%	72.50	5.3%
Total Income	4,649.2	4,239.8		4,712.5	
Cost of Materials consumed	1,827.6	1,670.13	9.4%	1,853.72	-1.4%
Purchase of stock in trade	31.9	31.40	1.7%	42.80	-25.4%
Changes in inventories of Finished goods and WIP	27.5	71.56	-61.6%	-118.42	-123.2%
Employee Benefit expenses	361.3	307.33	17.6%	364.60	-0.9%
Other Expenses	1,157.5	1,070.13	8.2%	1,181.87	-2.1%
EBITDA (excl other income)	1,243.5	1,089.2	14.2%	1,387.9	-10.4%
Less : Depreciation	182.3	180.39	1.1%	182.45	-0.1%
PBIT	1,061.2	908.9		1,205.5	
Less: Interest cost	17.9	15.89	12.7%	26.28	-31.8%
PBT (before exceptional)	1,043.3	893.0	16.8%	1,179.2	-11.5%
Exceptional	61.0	0.00		0.00	
PBT (after exceptional)	1,104.3	893.0	23.7%	1,179.2	-6.4%
Less : Tax	379.7	271.44		403.18	
PAT	724.6	621.5	16.6%	776.0	-6.6%
EPS	5.91	5.47	8.0%	6.33	-6.6%
Gross Margins	58.74%	57.97%		61.68%	
EBITDA Margins	25.52%	25.33%		28.35%	
Net profit Margin	15.58%	14.66%		16.47%	
MDF utilisation					
Capacity (CBM)	660,000	540,000	22.2%	660,000	0.0%
Production	122,627	128,250	-4.4%	133,224	-8.0%
Utilisation %	74%	95%		81%	
Ply utilisation					
Capacity (mn sqm)	10.50	10.50	0.0%	10.50	0.0%
Production	1.8	2.62	-31.7%	2.35	-23.8%
Utilisation %	68%	100%		90%	
Average Realisation					
MDF (per cbm)	31,299	24,446	28.0%	31,345	-0.1%
Plywood (per sqm)	299	279	7.2%	282	6.0%
Margins segment wise					
MDF	30.40%	31.40%		33.30%	
Plywood	7.30%	13.60%		11.50%	

Source: Dalal & Broacha Research, Company

Valuation & Outlook

We believe that the structural shift taking place in India from cheap/mid plywood to MDF will benefit Greenpanel Industries who has the highest revenue market share (~28%) and is also the largest exporter of MDF from India. Even in terms of capacity it accounts for 41% of the capacity in the organized sector as on FY22. The real estate industry is the key growth driver for the entire wood panel space and MDF is set to grow the fastest in the coming years. The company is favorably placed to tap into the opportunity unfolding on the strength of its product led by imports substitution, growing domestic demand and exports opportunity both for MDF and readymade furniture.

The company is estimated to clock revenue/EBITDA/PAT CAGR of 17%/15%/23% over FY22- 24E. **At the CMP of INR 380, it is currently trading at 15.5x/13x FY23E/24E EPS (~24.5/29.6). We retain our target price of Rs 533 (18x FY24E), implying an upside of 40% and therefore recommend BUY.**

FINANCIALS

P&L (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	8,766	10,208	16,250	19,532	22,095
Total Operating Expenses	3,919	4,629	6,709	7,813	8,838
Employee Cost	989	979	1,284	1,460	1,635
Other Expenses	2,480	2,566	3,953	5,162	5,950
Operating Profit	1,378	2,034	4,304	5,097	5,672
Depreciation	692	686	734	746	761
PBIT	686	1,347	3,571	4,351	4,910
Other income	22	34	90	156	129
Interest	483	372	171	160	203
PBT	225	1,010	3,489	4,347	4,836
exceptional)	225	1,010	3,489	4,347	4,836
Provision for tax	(28)	322	1,085	1,348	1,209
Reported PAT	145	688	2,405	2,999	3,627
MI	-	-	-	-	-
Net Profit	145	688	2,405	2,999	3,627
Adjusted Profit	145	688	2,405	2,999	3,627
Balance Sheet (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Equity capital	123	123	123	123	123
Reserves	6,494	7,181	9,394	12,209	15,653
Net worth	6,616	7,304	9,516	12,332	15,775
Non Current Liabilites	5,066	4,388	2,790	2,702	3,114
Current Liabilites	2,976	2,860	3,117	3,287	3,795
TOTAL LIABILITIES	14,658	14,552	15,424	18,321	22,684
Non Current Assets	11,489	11,000	10,561	13,197	15,955
Fixed Assets	11,168	10,778	10,382	12,991	15,730
Goodwill	-	-	-	-	-
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	144	146	170	197	216
Other Non Current Assets	177	76	9	9	9
Current Assets	3,169	3,553	4,863	5,124	6,728
Current investments	-	-	-	-	-
Inventories	1,539	1,494	1,658	1,993	2,255
Trade Receivables	705	778	414	498	529
Cash and Bank Balances	115	725	2,226	2,049	3,340
Short Term Loans and Advances	10	4	7	7	7
Other Current Assets	800	552	557	576	597
TOTAL ASSETS	14,658	14,552	15,424	18,321	22,684

FINANCIALS

Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Profit	145	688	2,405	2,999	3,627
Add: Dep. & Amort.	692	686	734	746	761
Cash profits	836	1,374	3,138	3,745	4,389
(Inc)/Dec in					
Sundry debtors	(249)	(72)	363	(84)	(31)
Inventories	(194)	45	(165)	(335)	(262)
Other financial assets	(142)	81	99	(27)	(20)
Other Current Assets	179	273	(64)	(19)	(21)
Current Liab and Provisions	(501)	(274)	220	3	16
Sundry Creditors	391	90	81	278	104
Change in working capital	(517)	142	534	(183)	(214)
CF from Oper. activities	319	1,517	3,672	3,562	4,174
CF from Inv. activities	(447)	(297)	(337)	(3,355)	(3,500)
CF from Fin. activities	44	(610)	(1,834)	(384)	616
Cash generated/(utilised)	(83)	610	1,501	(177)	1,290
Cash at start of the year	199	115	725	2,226	2,049
Cash at end of the year	115	725	2,226	2,049	3,340
Ratios	FY20	FY21	FY22	FY23E	FY24E
OPM	15.72%	19.92%	26.49%	26.10%	25.67%
NPM	1.65%	6.72%	14.72%	15.23%	16.32%
Tax Rate	-12.20%	31.85%	31.09%	31.00%	25.00%
Growth Ratios (%)					
Net Sales	46.31%	16.45%	59.20%	20.20%	13.12%
Operating Profit	78.10%	47.61%	111.65%	18.42%	11.28%
PBIT	82.06%	347.81%	245.58%	24.58%	11.26%
PAT	-58.18%	375.84%	249.47%	24.73%	20.94%
Per Share (Rs.)					
Net Earnings (EPS)	1.18	5.61	19.61	24.46	29.59
Cash Earnings (CPS)	6.82	11.21	25.60	30.55	35.80
Dividend	0.00	0.00	0.15	0.15	0.15
Book Value	53.97	59.57	77.62	100.59	128.67
Free Cash Flow	4.27	14.16	28.93	4.01	8.38
Valuation Ratios					
P/E(x)	322.17	67.71	19.37	15.53	12.84
P/B(x)	7.04	6.38	4.90	3.78	2.95
EV/EBIDTA(x)	37.42	24.75	10.96	9.25	8.23
Div. Yield(%)	-	-	0.04	0.04	0.04
FCFF Yield(%)	1.12	3.73	7.61	1.06	2.20
Return Ratios (%)					
ROE	2.19%	9.42%	25.27%	24.32%	22.99%
ROCE	5.87%	11.44%	28.93%	29.09%	25.57%

Source: Dalal & Broacha Research, Company

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Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Analyst	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Harsh Shah	Analyst	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.
Tel: 91-22- 2282 2992, 2287 6173 | E-mail: equity.research@dalal-broacha.com